

been building for over a decade. The transaction is structured with the financial discipline that has become a Sun signature.

For FY25, Sun Pharma reported gross sales of ₹52,041 crore (around \$6 billion). With the proposed Organon acquisition, combined revenue is expected to cross \$12 billion, implying an increase of more than 100% over Sun Pharma's current size. Organon operates in around 140 countries, while the combined Sun Pharma-Organon company will have presence in about 150 countries.

The acquisition will be funded through internal cash accruals and committed bank financing from lenders including Citigroup, JPMorgan and MUFG. The transaction will be executed through the merger of Organon with a Sun Pharma subsidiary, with Organon continuing as the surviving entity under Sun Pharma ownership. The eventual operating structure and integration roadmap, however, will evolve over time as the combined business is integrated.

Organon's existing \$8.6 billion debt, combined with Sun's acquisition financing, will leave the company at roughly 2.3 times net debt to Ebitda in its first full year.

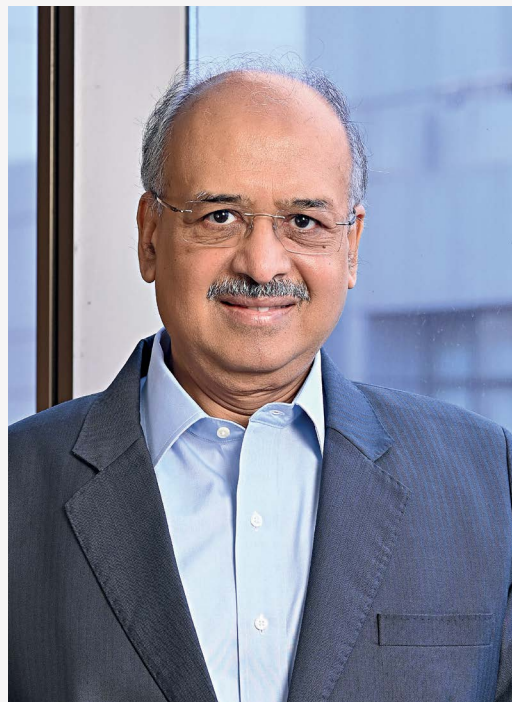
Shanghvi said Organon's size and profitability were comparable to Sun's, but the valuation gap reflected the different growth trajectories of the two companies. While Sun has been expanding consistently, Organon's businesses have been largely stagnant, creating what he described as an opportunity to revive growth. "We know that for us to create value, the key driver is to find a way to grow this business much better than what it has been able to do," he said.

Shanghvi acknowledged investor concerns around the scale of debt required for the acquisition. Sun has historically operated as a low-debt or a cash-positive company, but the management believes leverage is justified if it helps fundamentally alter the company's direction. "As a company, we ourselves are debt-averse. However, we are not risk-averse... personally, I am not comfortable with debt. I would try and find a way to deliver the company so that we are able to minimise or eliminate the debt."

However, he added that the leverage remained manageable in the context of the combined earnings and cash generation, and that Sun would remain focused on repaying the debt as early as possible. "Even the debt we got as a result of the Ranbaxy acquisition, we found a way to repay in the shortest possible time."

The timing reflects two structural shifts in the global pharmaceutical industry. The first is the imminent biosimilar boom, with \$320-330 billion worth of biologic products expected to lose patent protection between now and 2035, opening up a \$60-70 billion opportunity.

The second is the consolidation of global pharmaceutical distribution. What Sun lacked was a large international commercial presence.



DILIP S SHANGHVI
Founder & Chairman

Organon, in one transaction, supplies it.

Shanghvi said the acquisition dramatically accelerates Sun's ability to commercialise products globally and build relationships across markets that would otherwise have taken years to establish. "For Sun, on its own, it would have taken much longer to reach where we can potentially reach post the Organon acquisition."

"The acquisition would provide scale across innovative medicines, biosimilars and established brands, while also strengthening Sun's presence in China and women's health," say HDFC Securities analysts Mehul Sheth and Divyaxa Agnihotri. "However, reviving growth in Organon's established brands and managing integration would remain key challenges," they say.

The transaction also marks one of the boldest attempts by an Indian pharmaceutical company to acquire a global branded healthcare business at scale.